

steps you will take if such situations were to ever arise. It will help you stay calm when the waters are troubled, if they ever are.

- Auditing is usually considered a once-a-year event. Try to make it more than that to ensure your business remains successful. Imagine finding a glitch in the numbers when you do your audit at the end of the year. Retracing your steps over an entire year to pinpoint the origin of the glitch is nothing short of a herculean task. You can conduct spot checks routinely. Randomly choose a fast selling product in your warehouse and count the inventory. If it matches your data, the rest of your inventory is also likely to be in good shape. Or you could have a cycle in place. Count different products, if you have more than one, every once in a while. And decide beforehand what cycle you want to stick to in order to ensure that your entire stock goes through your inventory management system.
- A common practice in inventory management is called segmenting your stock into ABC. A would be high-value items that do not sell as quickly. C would be low-value items that move quickly. B would be the inbetweeners. Check on A more often than you would check on C, because the financial implications that A have are way higher than the Cs. Plus the Cs are fast moving items, so their numbers are far more likely to vary in short periods.
- Do your research. Check sales from last year, look at current trends in the market and then do what is probably the most difficult task of inventory management ever - predict. Make an informed prediction about the goods you will need and create/order products accordingly.

Wrapping It Up

While many financial gurus will tell you that cash-flow can make your business, inventory management and warehousing has a lot to contribute. Finding the right kind of space to stock up your goods and finding the right inventory management system to ensure you are well stocked at all times could be the making point for a home business that is growing. Choose a good third party warehousing partner or loan out an entire warehouse, whatever your choice, may it lead to larger volume of sales and happier customers. And that's all that matters at the end of the day. 